
Business Owner, Sales Director, and Account Executive KPI Framework

Three critical KPIs for each role, with supporting metrics and rationale. Designed to separate ownership clearly across lagging, blended, and leading indicators.

Business Owner

1. Closed Revenue

Definition

Total new revenue won in the period.

Supporting metrics

- Revenue versus goal
- Revenue by month
- Revenue by service line
- Average deal size
- Deals closed

Why this matters

This is the clearest top line sales outcome. The owner needs to know whether the business is actually winning enough revenue.

2. Gross Margin on New Sales

Definition

Gross margin dollars or gross margin percent on newly closed business.

Supporting metrics

- Discount rate
- Cost to deliver by service line
- Average gross margin per deal
- Low margin deal count
- Revenue by service line

Why this matters

Revenue alone can hide bad selling. The owner needs to know whether the business is winning profitable work, not just more work.

3. Forecast Accuracy

Definition

How close forecasted revenue is to actual revenue for the period.

Supporting metrics

- Forecast versus actual revenue
- Commit versus actual

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- Revenue miss percentage
 - Deal slip impact
 - Monthly forecast variance

Why this matters

The owner needs confidence in the revenue outlook in order to plan hiring, spending, and growth decisions.

Sales Director

1. Pipeline Coverage Ratio

Definition

Qualified pipeline value divided by revenue target.

Supporting metrics

- Qualified pipeline value
- Revenue target
- Qualified opportunity count
- Average opportunity value
- Pipeline by stage
- New qualified pipeline created

Why this matters

This shows whether the team has enough real pipeline to realistically hit the number.

2. Pipeline Velocity

Definition

The rate at which qualified pipeline turns into revenue.

Supporting metrics

- Qualified opportunity count
- Win rate
- Average deal size
- Average sales cycle length
- Stage aging
- Stage conversion rates

Why this matters

This shows whether pipeline is moving efficiently or getting stuck.

3. Total Call to Close Ratio

Definition

The percentage of total leads received that become closed deals. Formula: total closed deals divided by total leads received times 100.

Supporting metrics

- Total leads received

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- Total closed deals
 - Lead to meeting conversion rate
 - Meeting to opportunity conversion rate
 - Opportunity to proposal conversion rate
 - Proposal to close rate
 - No show rate
 - Lead response time
 - Lead source conversion rate

Why this matters

This is the ultimate efficiency metric for the full sales funnel. It shows how many raw leads turn into actual customers and revenue.

Account Executive

1. New Qualified Pipeline Created

Definition

Dollar value of new qualified opportunities created by the account executive during the period.

Supporting metrics

- Qualified opportunity count
- Average new opportunity value
- Discovery meetings held
- Lead to opportunity conversion rate
- Opportunity creation by source

Why this matters

This is the clearest leading indicator that the account executive is feeding future revenue into the system.

2. Meeting to Opportunity Conversion Rate

Definition

The percent of first meetings or discovery calls that become qualified opportunities.

Supporting metrics

- First meetings held
- Qualified opportunities created
- No show rate
- Qualification rate by source
- Follow up speed after first meeting

Why this matters

This measures whether the account executive is turning conversations into real pipeline instead of just staying busy.

3. Opportunity to Proposal Conversion Rate

Definition

The percent of qualified opportunities that advance to proposal.

Supporting metrics

- Qualified opportunities worked
- Proposals sent
- Proposal turnaround time
- Stage aging in opportunity stage
- Loss rate before proposal

Why this matters

This shows whether the account executive can move qualified deals forward before final close rates show up.

KPI ladder: Account Executive drives leading indicators, Sales Director manages pipeline strength and efficiency, and Business Owner owns final commercial outcomes.